A Guide to Modern Legal Pricing Aligning Value, Time, and Technology

BY SCOTT LEIGH & JOE KACZROWSKI

Clio

About the Authors

Scott Leigh and Joe Kaczrowski bring together decades of combined experience in law, technology, and business strategy.

Scott is the CEO and Co-founder of **AltFee**, a platform designed to help firms move beyond the billable hour and into value-based pricing models. Before founding AltFee, he led a mid-sized law firm through a complete shift to alternative fee arrangements, gaining firsthand insight into both the challenges and the benefits of pricing transformation. Today, he works with firms globally to implement scalable, profitable pricing systems that improve client trust and business performance.

Joe is the Manager of Legal Content at **Clio**, the industry-leading legal practice management platform. He focuses on helping lawyers integrate technology into their workflows to increase efficiency, predictability, and client satisfaction. With deep expertise in document automation and process optimization, Joe develops strategies that allow firms to turn efficiency gains into a competitive advantage rather than a revenue risk.

Together, Scott and Joe have guided countless legal professionals through the process of aligning value, time, and technology, creating pricing models that work for clients and firms alike.

Modern Legal Pricing: Aligning Value, Time, and Technology

Technology, especially AI and automation, is transforming how quickly and efficiently work can be delivered. And with that transformation, clients expect speed, transparency, and clear costs before a matter begins. Meanwhile, the traditional billable hour is showing its age, creating tension between client expectations and firm profitability.

The firms that will thrive in this new landscape are those that treat pricing not as an administrative task, but as a strategic business function. Modern pricing isn't just about setting a number on an invoice. It's about aligning the value delivered to the client with the sustainability and growth of the firm.

This guide offers a practical roadmap for making that shift. Drawing on proven strategies, industry data, and real-world examples, it walks through:

- Why the billable hour no longer serves as the most effective default model.
- How to structure and implement Alternative Fee Arrangements (AFAs) that clients trust.
- Ways to integrate technology so efficiency improves margins rather than erodes them.
- A repeatable framework for scoping, pricing, and refining matters across all practice areas.
- How to handle complex and unpredictable work while still providing cost certainty.
- The cultural and operational changes that define a truly modern law firm.

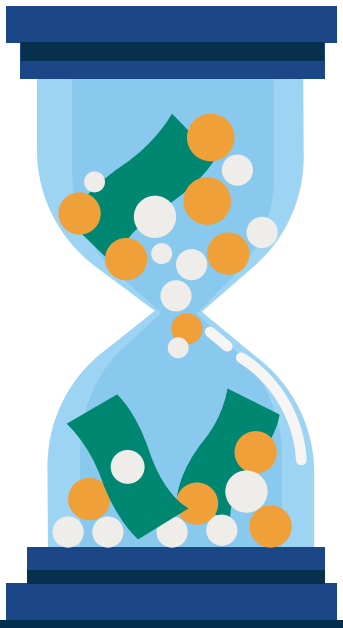
Change doesn't happen all at once, and it shouldn't. For most firms, trying to overhaul pricing models overnight is not only unrealistic, it can actually backfire by overwhelming your team and confusing clients. Instead, lasting transformation comes from starting small, building confidence, and scaling steadily. With the right tools, data, and mindset, you can pilot changes in one practice area, refine based on feedback, and then expand across the firm. This step-by-step approach strengthens client relationships, improves profitability, and ensures your team fully embraces the shift toward modern legal pricing.

What follows is not theory. It is a step-by-step guide to transforming your pricing model to gain a competitive edge in today's legal market and future-proof your firm for the one that's rapidly emerging.

Why Change? The Problems with the Billable Hour

The billable hour has been the backbone of legal pricing for decades. In theory, it's simple: track your time, multiply by your rate, and send the invoice. In practice, the model increasingly clashes with modern client expectations, competitive pressures, and operational realities.

While familiar and entrenched, the billable hour often creates friction between lawyers and clients, and even within law firms. Many firms are beginning to see that this approach is no longer the safest or most profitable default.



FIVE CORE PROBLEMS

Problem	Example	Why it matters
Lack of Price Certainty	A corporate client budgets $15,000 for a transaction based on a ballpark estimate. The final bill comes in at $22,000. Next time, they shop around.	Without a set fee upfront, clients are left wondering, "What will this cost me?" This unpredictability damages trust and makes budgeting difficult.
Misaligned Incentives	Hourly billing rewards time, not results.	This creates the perception that lawyers are rewarded for inefficiency. A hugely damaging byproduct is that clients often provide incomplete information out of fear of putting their lawyer on the clock. With Alternative Fee Arrangements (AFAs) and upfront cost certainty, that barrier is removed. When everything is on the table, lawyers can deliver maximum value in the most efficient way.
Lack of Price Certainty for Clients	A corporate client budgets $15,000 for a transaction based on a ballpark estimate. The final bill comes in at $22,000. Next time, they shop around.	Without a set fee upfront, clients are left wondering, "What will this cost me?" This unpredictability damages trust and makes budgeting difficult.
Misaligned Incentives	Hourly billing rewards time, not results.	This creates the perception that lawyers are rewarded for inefficiency. A hugely damaging byproduct is that clients often provide incomplete information out of fear of putting their lawyer on the clock. With Alternative Fee Arrangements (AFAs) and upfront cost certainty, that barrier is removed. When everything is on the table, lawyers can deliver maximum value in the most efficient way.
Limited Scalability	Firms must either push lawyers to bill more hours (risking burnout) or hire more lawyers (increasing overhead).	Both paths have limits, especially when market rates stagnate or competition intensifies. Growth under the billable hour is fundamentally capped.
Burnout and Morale Issues	Lawyers feel pressure to work longer instead of smarter.	Over time this leads to chronic stress, declining work quality, and increased turnover.
Collections and the "Efficiency Penalty"	Many firms collect far less than what they bill.	This means that even when lawyers work efficiently, the structure of hourly billing erodes margins. The below example shows exactly how this penalty plays out, step by step.

BILLABLE HOURS VS. COLLECTED REVENUE: THE HIDDEN GAP

As highlighted in the *2024 Legal Trends Report*, firm performance drops at every stage of the revenue cycle. Let's use California as an example, where lawyers typically charge between $181 and $502 per hour, with an average of $391.

Firm KPI	Definition	Industry Average *based on an average 8-hour work day	Example at $391/hr
Utilization Rate	% of an 8-hour day spent on billable work.	37% Lawyers are capturing 2.9 billable hours.	In an 8-hour day, only 2.9 hours are billed. 2.9 × $391 = $1,133.90 utilized
Realization Rate	% of billable work that actually gets invoiced.	88% Lawyers are invoicing 2.6 hours' worth of billable work to clients.	Only 88% of that billed time is invoiced. $1,133.90 × 0.88 = $997.83 invoiced
Collection Rate	% of invoiced work that gets paid.	91% Lawyers are collecting 2.3 hours' worth of invoiced work from clients.	Of what's invoiced, only 91% is collected. $997.83 × 0.91 = $908.03 collected

Result: For every $1,133.90 in potential billings, the average California lawyer collects just $908.03. That's nearly a 20% revenue loss before even considering overhead or efficiency gains.

This is the efficiency penalty in action: under hourly billing, even if you work faster and smarter, the structure of the model ensures you keep less of what you earn.

Several forces are making these problems harder to ignore:

- **Client sophistication:** Businesses expect pricing transparency and the ability to budget from all professional services, including law.
- **Technology and AI:** Tasks that once took hours now take minutes. Without a pricing model that rewards efficiency, revenue falls as productivity rises.
- **Competition:** Firms adopting alternative fee arrangements (AFAs) are using them as a market differentiator to win clients.

ACTIONABLE TAKEAWAYS

1. **Calculate Your Cash Realisation Rate**

   Multiply your billing realization rate by your collection rate. If it's far below 100%, quantify the revenue loss and share it internally. Remember that with AFAs, flat fees, or value-based pricing, you are not capped at 100 percent. Your effective realization rate can go higher.

2. **Document Client Frustrations**

   Keep a record of comments or complaints about unpredictable invoices. Real quotes help make the case for change. Ideally, feed these insights back into a centralized system so the whole team can learn and continuously improve.

3. **Identify Efficiency Gaps**

   List tasks where efficiency improvements (via automation, delegation, or process redesign) would currently reduce revenue under hourly billing. These are prime candidates for alternative pricing models.

Understanding Alternative Fee Arrangements (AFAs)

Moving away from hourly billing doesn't mean losing structure. It means replacing a time-based system with one that is value-based and outcome-focused. AFAs provide predictable pricing for clients, fair compensation for firms, and better alignment of interests.

Clients are pushing for greater transparency, faster timelines, and cost certainty. At the same time, efficiency gains from technology and process improvement make hourly pricing less viable. If efficiency keeps improving but billing remains hourly, firms either lose revenue or resort to unrealistic hourly rates that don't reflect the value provided.

Industry data shows:

- Flat-fee work has grown by **34%** in the past year.
- **71%** of clients prefer paying a flat fee.
- Firms using flat fees are almost **twice as likely** to collect payment immediately and **five times more likely** to send invoices promptly.

WHY AFAs WORK

1. **For Clients:** predictable costs, reduced billing anxiety, and aligned incentives.
2. **For Legal Professionals:** reduce burnout, valued for more than their time.
3. **For Firms:** improved and more predictable cash flow, reward for efficiency, and competitive differentiation.
4. **For All:** shared focus on efficient, high-quality outcomes.

MAKING AFAs REPEATABLE

1. **Guidelines & Base Fees:** Define minimum fees for each service.
2. **Pricing Factors:** Use checklists to fully consider and adjust for complexity and cost.
3. **Modifiers:** Apply value-based adjustments for considerations like urgency, stakes, or internal strategic factors.
4. **Clear Service Descriptions:** State inclusions and exclusions to prevent scope creep.
5. **Review & Learn:** Compare flat fees to recorded time, track acceptance rates, and use learnings to refine pricing.

At its core, an AFA is any pricing model other than hourly billing that delivers up-front cost certainty. While AFAs take many forms, the most common, and most effective, fall into six categories.

THE SIX MAIN TYPES OF AFAS

Type	Definition	Example	Best For	Key to Implementation
Fixed or Flat Fees	One set price for a defined service.	$4,250 for an uncontested divorce, covering all filings, meetings, and preparation.	Routine, repeatable matters with well-understood scope.	A standardized scoping workflow so anyone on the team can price consistently.
Stage-Based (Phase-Based) Fees	Breaking a matter into stages, each with its own fixed fee.	Litigation priced separately for pleadings, discovery, and trial preparation.	Complex matters where the total cost is uncertain at the outset.	Define each stage clearly and agree upon scope & price upfront for additional stages.
Value-Based Pricing	Pricing based on the value created for the client, not the time spent.	A contract negotiation avoiding a $5M liability is priced higher than one with minor impact, even if the time spent is similar.	Strategic work with measurable or high-perceived value.	Internal guidelines for assessing value and client impact.
Subscription / Retainer Models	Recurring monthly or annual fee for ongoing access to services.	$2,500/month for unlimited contract reviews and compliance check-ins.	Clients with continuous or seasonal needs.	Define exactly what's included and how usage is tracked.
Contingency or Success Fees	Payment contingent on a defined result (often a percentage of recovery).	30% of settlement in a personal injury case.	Matters with clear win conditions and predictable value.	Ensure the firm can absorb the risk of non-payment.
Unbundled (Limited Scope) Services	Breaking a matter into discrete tasks, each separately priced. Certain responsibilities are handled by the lawyer while others are taken on by the client, creating clarity around scope and cost.	Drafting documents while the client self-represents at hearings.	Increasing access to services for budget-conscious clients.	Define exactly what's included and how usage is tracked.

ACTIONABLE TAKEAWAYS

1. Map your top 10 services to one or more AFA models.
2. Build a scoping checklist for each service type.
3. Pilot AFAs in one practice area before expanding firm-wide.
4. Measure profitability on every AFA matter and refine based on data.
5. Don't get hung up on early "wins" or "losses." Focus on learning and improving as you go.

Technology, AI, and the End of the Billable Hour

A quiet revolution is reshaping the legal industry. It began during COVID, accelerated with the normalization of remote work, and gained full momentum with the rise of AI-powered legal tools.

The impact is undeniable:

- Tasks that once took hours now take minutes.
- Clients expect faster turnaround, greater transparency, and firm cost commitments.
- Firms that rely solely on hourly billing find profitability eroding with every efficiency gain.

The equation is simple:

> **AI = Efficiency → Efficiency = Less Time → Less Time ≠ Hourly Growth**

If your pricing model depends on the number of hours billed, every improvement in technology and process threatens revenue.

THE DATA: EFFICIENCY IS ALREADY HERE

- **79%** of firms are already using AI in some part of their workflow.
- Flat-fee work has grown by **34%**, driven by client demand for cost certainty.
- **71%** of clients now prefer flat fees.

These aren't early-adopter numbers, this is the new norm.

WHY THE SHIFT IS INEVITABLE

1. **Technology Reduces Time, Not Value**
   Document automation, AI-assisted research, and workflow platforms cut drafting and review times dramatically. The value of advice, advocacy, or negotiation remains the same — but under hourly billing, faster delivery results in less revenue.

2. **Clients Demand Transparency and Certainty**
   Cost predictability has become standard across professional services. Law is no exception. Clients want clear numbers before work begins, and they expect those numbers to hold.

3. **The Efficiency–Profitability Gap**
   Without changing pricing models, each efficiency gain widens the gap between value delivered and revenue captured.

   - *Before automation:* $300 fixed fee for a forms package = 2 hours' work = $150/hour effective rate.
   - *After automation:* Same $300 fee, 20 minutes' work = $900/hour effective rate.

Flat fees turn efficiency into margin. Hourly billing turns it into a pay cut.

STRATEGIC RESPONSES

Embrace Alternative Fee Arrangements (AFAs)

Shift toward models that reward outcomes, not minutes. Fixed fees, stage-based pricing, and value-based pricing work best in efficiency-driven environments.

Use Data to Drive Pricing

Record time even on flat-fee matters. Compare it to the actual fee, and track margins over time. Adjust fees based on historical performance. This approach not only helps refine pricing but also highlights which practice areas are naturally efficient and best suited to flat-fee models.

Integrate AI and Automation

- Automate high-volume drafting to reduce repetitive work.
- Use AI for first-pass review or research with human oversight.
- Let clients enter their own information through secure intake systems to reduce admin time and errors.

The Modern Pricing Equation

1. **Time-Based Factors:** Scope, complexity, defined tasks.
2. **Non-Time-Based Factors:** Client value, urgency, risk, and strategic priorities.
3. **Pricing Model:** Combine both into a fair, repeatable process that rewards efficiency and reflects value.

This hybrid approach moves firms away from pure hourly billing while still accounting for cost inputs and aligning with client value.

ACTIONABLE TAKEAWAYS

1. Audit your technology impact. Identify where AI or automation has already reduced time and adjust pricing accordingly.
2. Run a 3-month margin analysis comparing recorded time vs. flat fees.
3. Explain to clients how efficiency means better service and predictable costs.
4. Price with the assumption that within 3–5 years, most routine legal work will take half the time it does today.

The Modern Pricing Framework

Switching away from the billable hour isn't just about picking a new fee model. It's about creating a repeatable, firm-wide process that ensures pricing is consistent, fair, and profitable.

Think of pricing as a spectrum:

- **Pure hourly billing:** every unit of time is monetized.
- **Pure value-based pricing:** time is irrelevant; only the perceived value matters.
- **Hybrid models:** a balance between time-based inputs and value-oriented factors.

The goal is to combine scope and complexity with client value and internal business drivers and do it consistently, whether pricing is handled by a senior partner or an intake specialist.

THE HYBRID PRICING MODEL IN PRACTICE

Step 1: Establish Project Guidelines

- Set a base fee for each matter type (the minimum you'd accept).
- Document the standard inclusions so everyone understands the baseline scope.
- Example: An uncontested divorce might have a base fee that includes filing, document prep, and one client meeting.

Step 2: Scope Accurately with Pricing Factors

- Use a checklist to assess complexity and workload.
- Examples: number of parties, presence of children, asset valuations, jurisdictional requirements.
- Benefit: Any team member can run the checklist and produce a consistent scope assessment.

Step 3: Apply Modifiers (Value-Based Adjustments)

Modifiers reflect two categories:

- Client-Focused Value: urgency, stakes, business impact, strategic importance.
- Internal Firm Drivers: resource constraints, specialized expertise, alignment with firm goals.

KEY PRICING INSIGHTS FROM ALTFEE

Anonymized and aggregated data from AltFee users highlights clear patterns:

- Urgency can increase price by ~5%.
- Capacity constraints can justify an ~11% increase.
- Adding one or more price-increasing modifiers raises fees by ~10% on average.

Step 4: Package the Proposal

- Write a client-facing service description.
- Clearly state in scope and out of scope items to prevent disputes.
- Include language for common scope changes (e.g., uncontested matters becoming contested).
- Deliver through engagement letters, proposal emails, or integrated billing software.

Step 5: Collaborate and Approve

- Intake staff may scope; partners may review; finance may check margins.
- Take learnings and input back into your pricing system so scoping accuracy improves over time.
- Use workflow stages ("Draft → Review → Approve → Propose") to keep pricing decisions consistent.

Step 6: Track, Learn, and Refine

- Compare flat fees to recorded time for every matter.
- Monitor proposal acceptance ("win rates").
- Adjust base fees and scope descriptions based on actual performance.

Why the Framework Works

- Consistency: Clients get uniform pricing regardless of who prepares it.
- Confidence: Lawyers can quote with certainty because the system supports their judgment.
- Profitability: Efficiency gains improve margins instead of reducing revenue.
- Client Trust: Transparency on scope and value strengthens relationships.

ACTIONABLE TAKEAWAYS

1. Create one guideline this week for a high-volume matter type, with base fee, standard inclusions, and potential scope increasing factors.
2. Identify three modifiers and assign percentage adjustments.
3. Test the framework internally. Run the same matter through three different team members and compare results.
4. Start tracking win rates to spot where pricing needs adjustment.

Implementing Flat Fees Successfully

Adopting flat fees doesn't require overhauling your entire pricing model overnight. The most successful transitions start small, build confidence, and expand as the firm gains experience and data.

Start Small and Build Gradually

Choose one matter type, practice group, or even a single recurring task as your pilot. This lets you refine your approach without overwhelming the team or risking widespread mispricing.

Flat fees work best when you already understand the scope and variability of the work. Routine, repeatable services are ideal first candidates.

Use Historical Data as Your Baseline

If you've been recording time, you already have valuable pricing intelligence. Use past billing records to determine the typical hours and effort for your chosen pilot work. This historical average becomes the foundation for your initial flat-fee rate.

Tracking continues to matter even after you switch. Comparing recorded time to your set fee will show whether you're protecting your margins or need to adjust.

Integrate Pricing Into Intake

Pricing shouldn't be an afterthought. Build scoping and fee determination into your intake workflow so every matter is priced before work begins. This ensures consistency and prevents uncomfortable mid-matter pricing conversations.

Collaborate Across the Team

Bring in input from those with different perspectives knowing partners, associates, paralegals, and intake staff all interact with matters differently. Combining insights leads to more accurate scoping and a pricing process everyone can trust.

Treat Every Matter as a Learning Opportunity

Flat-fee pricing improves with iteration. After each matter, review:

- Did actual work match the scoped estimate?
- Was the fee profitable at the recorded time and expense level?
- Did the client perceive the value as equal to or greater than the fee?

Feed these insights back into your guidelines and checklists so the process improves over time. The next team member to price that same project type will benefit from the improved guideline and be able to price with more accuracy and confidence.

Shift the Mindset

Not every flat-fee matter will be a "win" on margin. Some will take longer than expected; others will deliver strong profitability. The objective is to refine the system so, on average, your firm scales profitably while delivering predictable value to clients.

ACTIONABLE TAKEAWAYS

1. Select one repeatable service and pilot a flat-fee model this quarter.
2. Use historical time records to help set your initial price.
3. Make pricing a formal step in intake for all flat-fee matters.
4. Review each completed matter, add any learnings to guidelines, and adjust pricing factors as needed.

Technology to Support Modern Pricing

The best pricing framework in the world won't deliver consistent results without the right tools to support it. Technology bridges the gap between theory and day-to-day execution. This can help you scope faster, quote with confidence, track performance, and refine your approach over time.

Modern pricing tools serve three main purposes:

1. **Streamline intake and scoping** so quotes are fast, accurate, and consistent.
2. **Automate document generation** to turn efficiency into profit.
3. **Track, compare, and refine** pricing decisions based on data.

CORE TECHNOLOGY CATEGORIES

1. **Intake and Scoping Tools**
    - Gather client and matter details in a structured, repeatable way.
    - Use checklists and guidelines so even junior staff can scope matters confidently and consistently.
    - Build scoping into your intake workflow — no work should start until pricing is set and agreed upon.

> *Example: AltFee provides built-in project guidelines and pricing factors so anyone on your team can scope consistently, while Clio Grow manages the client intake process and feeds those details into your pricing workflow.*

2. **Pricing and Proposal Software**
    - Combine base fees, pricing factors, and modifiers into ready-to-send client proposals.
    - Include clear in-scope and out-of-scope definitions to prevent scope creep.
    - Where possible, integrate proposals directly into your billing

> *Example: AltFee turns scoping and pricing decisions into standardized, client-ready language. Those proposals can then flow straight into Clio Manage for billing, cutting out duplicate data entry and streamlining the flat fee billing process.*

3. **Document Automation Platforms**
    - Produce high-quality legal documents in a fraction of the time.
    - Example: Cutting drafting from two hours to 20 minutes turns a $300 flat fee from a $150/hour effective rate into $900/hour.
    - Automation ensures efficiency gains improve margins rather than reduce revenue.

> *Example: Clio Draft automates routine document generation, reducing lawyer time spent on admin and turning efficiency gains into profitability.*

4. **Data Tracking and Analytics**
    - Measure actual performance against pricing assumptions.
    - Track recorded time even for flat-fee matters to monitor margins.
    - Review proposal acceptance rates, average profitability, and modifier usage trends.

> *Example: AltFee's analytics lets you compare recorded time against flat-fee outcomes, so you can refine pricing based on real performance data rather than guesswork.*

5. **Client-Facing Collaboration Tools**
    - Allow clients to provide information directly through secure forms or questionnaires.
    - Reduces administrative overhead and the risk of data entry errors.
    - Keeps matters moving without bottlenecks.

> *Example: Clio Grow's intake questionnaires and Clio Draft's client-facing forms let clients enter information directly, reducing rekeying, saving staff time, and ensuring accuracy from the start.*

Integrating Your Tech Stack

The real power comes from connecting these systems so information flows without duplication:

> **Intake → Scoping → Proposal → Document Generation → Billing → Data Analysis**

When tools work together, your firm spends less time on admin and more time delivering value, while maintaining complete visibility into whether pricing decisions are working.

ACTIONABLE TAKEAWAYS

1. Audit your current tools for intake, scoping, proposals, drafting, and analytics. Identify gaps.
2. Connect at least one scoping/pricing tool with your billing or document automation platform.
3. Track recorded time on flat-fee matters to fine-tune base fees and modifiers.
4. Shift non-essential data entry to clients via secure intake tools.

Complex & Uncertain Matters

Not every matter fits neatly into a repeatable package. High-stakes litigation, multi-party transactions, mergers and acquisitions, and contentious negotiations often carry a high degree of unpredictability. Complexity doesn't have to force a return to hourly billing. It simply requires a different approach to scoping, pricing, and client communication. Uncertainty doesn't mean reverting to hourly billing, it means designing pricing models that flex with complexity.

The Challenges of Complex Work

- **Unknown Scope:** Early stages may uncover facts that drastically change workload.
- **Multiple Stakeholders:** More parties mean more communications, revisions, and delays.
- **Unpredictable Timelines:** Regulatory delays, court scheduling, or negotiation breakdowns can extend matters unexpectedly.
- **Variable Client Needs:** Urgency or priorities can shift mid-matter, changing the scope.

Stage-Based Pricing for Uncertain Matters

Stage-based pricing breaks a large matter into smaller, clearly defined phases, each with its own fixed fee. This gives clients cost certainty one stage at a time while giving the firm the flexibility to adjust pricing as new information emerges. It creates transparency, manages risk, and ensures pricing reflects actual complexity rather than speculation.

Litigation is a strong example: by dividing the case into phases such as pleadings, discovery, pre-trial motions, and trial, firms can align fees with the realities of each phase instead of relying on open-ended hourly billing.

Phase	Stage-Based Pricing	Benefit
Pleadings & Initial Filings	Flat fee for this phase	Limits early commitment while covering predictable, foundational tasks. Builds client trust through upfront clarity.
Discovery	Flat fee adjusted for evidence volume	Allows pricing to reflect the actual scale of discovery rather than guessing. Prevents overcharging or undercharging when new facts emerge.
Pre-Trial Motions	Flat fee for this phase	Keeps costs predictable during a phase with defined procedural steps, even if intensity varies.
Trial	Flat fee plus optional success fee	Aligns incentives for strong performance, shares risk, and rewards results without open-ended hourly billing.

PRICING NEGOTIATIONS BY "ROUNDS"

In multi-round negotiations, scope creep is almost guaranteed unless it's built into the pricing model.

- **Base Fee:** Covers a set number of rounds (e.g., three rounds of markups and responses).
- **Additional Rounds:** Charged at a fixed per-round fee.
- **Benefit:** Clients know exactly what extended negotiations will cost, and the firm is paid for extra effort.

HYBRID MODELS FOR HIGH-RISK/HIGH-REWARD MATTERS

In some cases, a blended structure works best:

- A reduced upfront stage fee to cover baseline costs.
- A success fee or contingency percentage applied only if a defined outcome is achieved.
- Useful where there's a measurable "win" but significant upfront work before results are realized.

COMMUNICATION IS THE SAFETY NET

The strongest defense against scope disputes is proactive, clear communication:

- Define inclusions and exclusions for each stage.
- Flag likely scope changes in advance.
- Get client approval before entering resource-heavy phases.

ACTIONABLE TAKEAWAYS

1. Break complex matters into stages, each with its own deliverables and fixed fee.
2. Limit the included negotiation rounds and price additional rounds separately.
3. Consider blending stage fees with success fees for suitable high-stakes work.
4. Build decision points into the process so clients approve scope and pricing before moving forward.

Becoming a Modern Law Firm

Adopting alternative fee arrangements and a modern pricing framework is a powerful start, but it's only the first step. Real transformation requires building a business culture that rewards efficiency, measures value, and continually evolves with client expectations and market realities.

THREE PILLARS OF A MODERN LAW FIRM

1. **Client-Centered Service**
    - Transparency: Share scope, inclusions, and pricing rationale upfront.
    - Communication: Keep clients informed at key milestones, especially before stage transitions or when scope might change.
    - Feedback Loops: Ask clients after each matter how well pricing matched their expectations.
2. **Data-Driven Decision Making**
    - Track Margins: Compare flat fees to recorded time and expenses to assess profitability.
    - Monitor Win Rates: See which pricing models convert the most proposals.
    - Refine Regularly: Adjust base fees, pricing factors, modifiers, and scope definitions based on real-world results.
3. **Team Collaboration and Buy-In**
    - Shared Knowledge: Develop internal guidelines and checklists so everyone can price consistently.
    - Empower Intake: Train your entire legal team to scope and price matters confidently within established guidelines.
    - Reward Efficiency: Recognize and incentivize process improvements and value delivery.

Practical Steps to Modernization

1. Start Small, Scale Fast: Pilot AFAs in one practice area, refine the process, and expand.
2. Integrate Technology: Connect intake, scoping, proposals, document automation, and billing into a single workflow.
3. Align Incentives: Shift from rewarding hours billed to rewarding outcomes, client satisfaction, and profitability.
4. Make Learning Ongoing: Run quarterly reviews of pricing performance and client feedback.

THE CULTURAL SHIFT

Modern pricing isn't just about charging differently, it's about thinking differently:

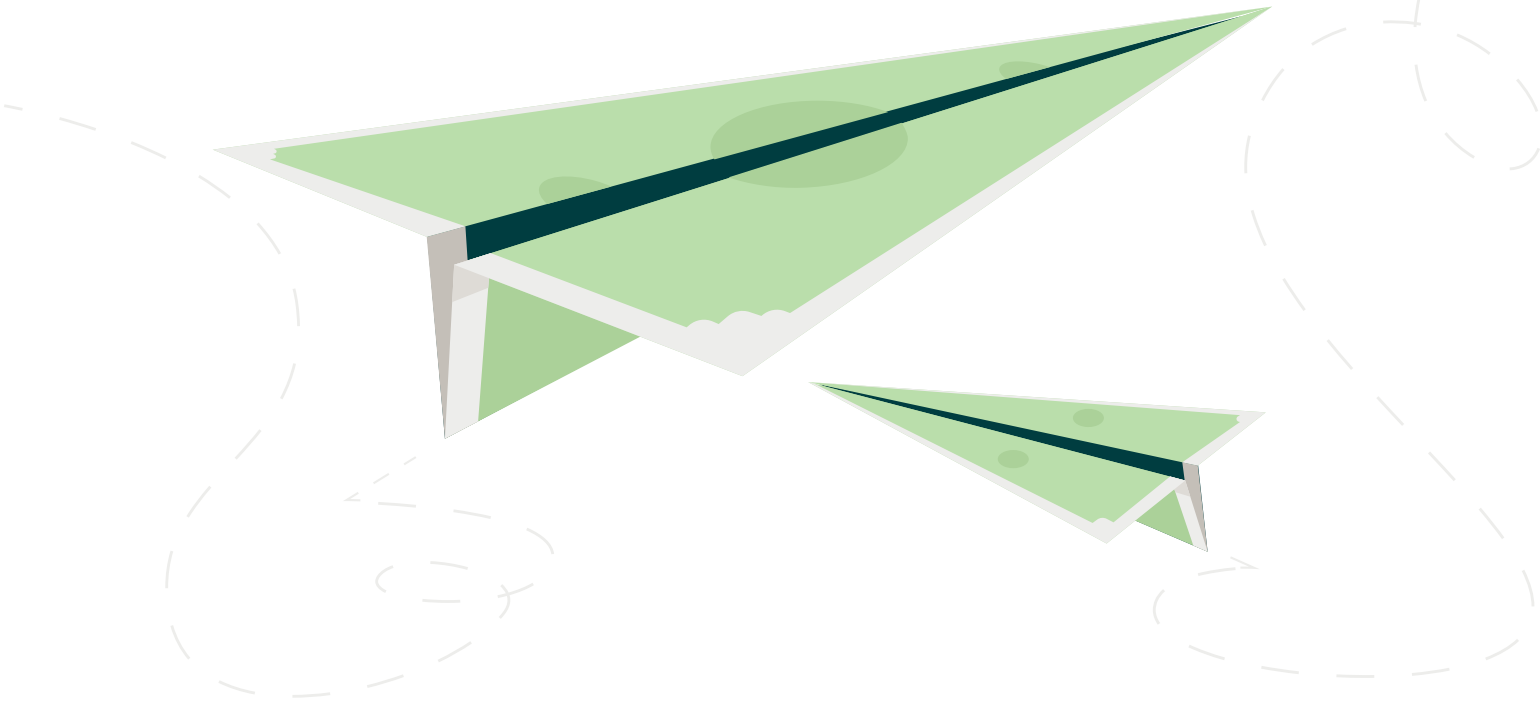
- From *"How much time will this take?"* → to *"What is the value of this outcome?"*
- From *"How do we track hours?"* → to *"How do we track results?"*
- From *"Let's bill and hope they pay"* → to *"Let's agree on value and price before we start."*

Firms that embrace this mindset are better positioned to:

- Retain top talent by reducing burnout and making work more rewarding.
- Build deeper trust with clients through predictability and fairness.
- Stay profitable as technology transforms how legal work is delivered.

ACTIONABLE TAKEAWAYS

1. Set a specific AFA adoption goal (e.g., a target percentage of matters priced non-hourly within 12 months).
2. Hold regular pricing workshops to test and refine real proposals.
3. Share stories of improved client satisfaction, faster payments, or higher margins under AFAs.
4. Make modern, transparent, value-driven pricing part of your firm's public brand.



Pricing for the Future of Legal Services

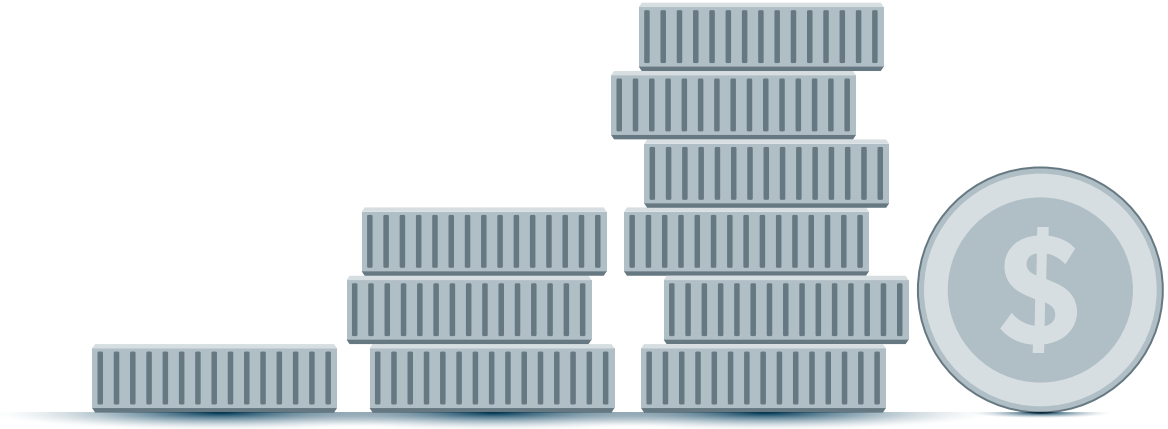
The way legal services are delivered and valued is changing rapidly. Clients now expect clarity, speed, and fairness. Technology is transforming tasks that once required hours into work that can be completed faster and with greater precision. The billable hour may still be common, but it is no longer the only or best way to align your firm's interests with your clients' needs.

Modern pricing is about building on your existing strengths. By adopting alternative fee arrangements, creating a consistent pricing framework, and using technology to support both efficiency and profitability, you can make pricing a true competitive advantage.

Start small. Select one service, one practice group, or one client relationship to pilot a new approach. Track the data. Learn from each matter. Refine your guidelines and expand the program. Over time, this turns pricing from a reactive, matter-by-matter choice into a strategic, firm-wide system.

Pricing is more than a financial tool; it is a trust-building mechanism. When clients know what to expect and see that your pricing reflects the value you deliver, they are more likely to become long-term partners.

The future of legal pricing will belong to firms that are ready to rethink, adapt, and lead. With the strategies in this guide, you can create a model that rewards efficiency, builds client confidence, and positions your firm for lasting success in a changing industry.



Pricing for the Future of Legal Services

The way legal services are delivered and valued is changing rapidly. Clients now expect clarity, speed, and fairness. Technology is transforming tasks that once required hours into work that can be completed faster and with greater precision. The billable hour may still be common, but it is no longer the only or best way to align your firm's interests with your clients' needs.

Modern pricing is about building on your existing strengths. By adopting alternative fee arrangements, creating a consistent pricing framework, and using technology to support both efficiency and profitability, you can make pricing a true competitive advantage.

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About Clio

Clio is the intelligent legal work platform that empowers legal professionals to operate at their best. By combining industry-leading legal AI, authoritative research, and essential tools for managing matters, documents, scheduling, and billing, Clio brings clarity and confidence to everyday legal work. Trusted by legal professionals worldwide and endorsed by more than one hundred bar associations and law societies, Clio is the benchmark for modern legal operations.

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